NexaTel Customer Churn: Management Report

Prepared for the Chief Customer Officer, NexaTel · November 2026
Based on 19,000 customers from April 2025 to March 2026. Every figure comes from my Phase 1 to 4 notebooks and the Power BI dashboard.

Summary

About 0.65% of NexaTel's customers leave each month. That is well inside the 2.1% target, but it is going up: from 0.44% in April 2025 to 1.25% in March 2026. The customers who left in the last 12 months were paying about Rs.7.7 lakh a month, which is roughly Rs.93 lakh a year. The customers most likely to leave are those with unresolved complaints, customers in the Mass segment and customers on Monthly plans. Support is the weakest area: only 40.4% of tickets are solved on the first contact, against a target of 78%. My main recommendation is to clear the complaints backlog first, then test an annual-plan offer properly, and check a few data problems with the business.

Key numbers

Measure	Value	Target	Source
Monthly churn rate (12-month average)	0.65%	under 2.1%	Phase 3, KPI 1
Monthly churn rate, March 2026	1.25%	under 2.1%	Phase 3, KPI 1
Revenue lost to churn (per month, last 12 months)	Rs.774,988	none	Phase 3, KPI 5
Monthly recurring revenue	Rs.15.03 million (includes 52 subscriptions that start after March 2026)	none	Phase 3, KPI 6
First contact resolution	40.4%	over 78%	Phase 3, KPI 7
Average resolution time	16.0 hours	under 24 hours	Phase 3, KPI 8
Contract renewal rate (postpaid and fibre)	84.0%	over 88%	Phase 3, KPI 9

Top 3 findings

1. Churn is low, but it is rising and costing more. Monthly churn went from 0.44% in April 2025 to 1.25% in March 2026. Over the same months, the monthly revenue lost to churn grew from Rs.31,972 to

Rs.122,854, about 3.8 times more. Monthly recurring revenue peaked at Rs.15.12 million in January 2026 and fell about 1% to Rs.14.97 million by March (these month-by-month figures count each subscription from its start date). One thing to keep in mind: March has only 4 new customers in the data, so some of the March jump may be because the data stops there.

2. Unresolved complaints go with much higher churn. Customers with no unresolved complaint churn at 15.1%. With one it is 23.4%, with two it is 33.3%, and with three or more it is 48.3%. 44.3% of all complaints (7,348 of 16,584) are still unresolved, and only 40.4% of support tickets are solved on the first contact. This does not prove that complaints make people leave, but the two clearly go together.

3. Some groups churn much more than others.

- Segment: Mass customers churn at 26.7%, against 11.9% for Enterprise.
- Plan type: Monthly-plan customers churn at 22.5%, against 7.2% for Annual plans.
- Early tenure: churn is highest in the first year (78.8% under 3 months, 8.5% after 3 years). For customers who left, tenure stops on the day they left, so part of this pattern comes from how tenure is measured.

Risks

- **Revenue:** about Rs.93 lakh a year of recurring revenue is going out because of churn, and the monthly amount is rising.
- **Service:** with first contact resolution at 40.4%, many customers have to contact support more than once, and 7,348 complaints are still open.
- **Renewals:** renewals for postpaid and fibre contracts are at 84.0%, below the 88% target.
- **Network:** customers in the worst quarter for dropped calls churn at 22.8%, against about 15% in the best quarter. The network data covers only January to March 2026, so I cannot say that poor network came first.
- **Data problems:** 251 customers marked as churned still have an active subscription, 52 active subscriptions start after 31 March 2026, and 2,947 contracts are past their end date but still show as Active or Pending. These affect the revenue and renewal numbers, so they should be checked with the business.

Opportunities

- **Fix complaints first.** 1,124 customers have two or more unresolved complaints, and their churn is 33% to 48%, compared with 15% for customers with none.
- **Move Monthly customers to annual plans.** 13,949 customers are on Monthly plans, and they churn at about three times the rate of Annual customers.
- **Protect high-value customers.** Using a 40% gross margin, which is my assumption and not a NexaTel figure, a Premium customer is worth about 5 times a Mass customer over their lifetime (Rs.74,809 compared with Rs.14,186).
- **Keep an eye on a watch-list.** 38 active customers show all four risk signs: a Monthly plan, two or more unresolved complaints, dropped calls in the worst quarter, and the Mass segment. This is a simple rule I made from the analysis, not a prediction model.

Recommendations

1. **Clear the complaints backlog.** Resolve the 7,348 open complaints, starting with the 1,124 customers who have two or more. Track first contact resolution every month and aim to move it from 40.4% towards 78%.
2. **Test an annual-plan offer with a control group.** Offer a discount to a sample of Monthly customers and keep a similar group with no offer. Compare churn after three months. The retention campaigns so far (82.4% of contacted customers are still active) cannot tell us whether offers work, because nobody was kept out as a comparison.
3. **Check in with new customers early.** Contact customers in their first three months, starting with the Mass segment and Monthly plans.
4. **Look at network quality in the worst states.** Dropped-call rates are highest in Mizoram (3.17%), Meghalaya (3.12%) and Jammu and Kashmir (3.03%).
5. **Get the data questions answered.** Ask the business about the 251, 52 and 2,947 records mentioned above, so the revenue and renewal numbers can be confirmed.

What this analysis cannot tell us

- The patterns above show which groups leave more, not why they leave. None of it proves a cause.
- The 40% gross margin is my assumption. The lifetime values are for comparing segments, not for forecasting.
- The retention campaign data has no comparison group, so I cannot measure what the campaigns achieved.

All figures in this report come from my Phase 1 to 4 notebooks and the Power BI dashboard (Phase4_Dashboard_Swetha.pbix).